

The decisions you do make

How much equity and bonds (e.g., 70/30, 60/40), which fund do you want to own (VTI, SPY, VOO, ITOT, etc.),⁴¹² how globally diversified do you want to be (30%, 40%, 50%?), how much will you dollar cost average into your account each paycheck (5–10%), and how often will you rebalance (into deep equity drawdowns, or otherwise every three-ish years)?

Once you make those initial decisions, it's pretty much set and forget for the next few decades.

Therein lies the true genius of indexing: it removes all the human decision-making errors to which we are prone: stock selection, market timing, panic-selling, chasing the new hotness, or knowing when to sell a winning position. Those problems are mostly eliminated from your process. It's a rare investing truism: Miss those errors, avoid the vast majority of expensive mistakes, and you are guaranteed to do better than everybody else.

Indexing has become a key methodology for millions of people, despite—or perhaps because of—the disdain Wall Street has shown.

Your equity portfolio can consist solely of indexes, or you can use a strategy called Core & Satellite. This involves a mix of assets centered around broad market indices but with other strategies added in.

My favorite metaphor is a Christmas Tree as your core index and the rest of your equity positions as the decorations that trim the tree. Figure ~70% core and the rest satellite. There are ETFs for whatever you like—India, momentum, shareholder yield, AI, quality, emerging market, whatever. You can add your own stink to the portfolio in whatever way you fancy, just so long as the key holdings remain that broad low-cost index.

One of my favorite behavioral hacks is for you stock junkies: *The Cowboy*